

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 22-21

MRSF, Inc.

v.

YANG MING MARINE TRANSPORT CORPORATION

**RESPONDENT’S MOTION TO STRIKE OR
DISREGARD COMPLAINANT’S REPLY BRIEF**

Respondent Yang Ming Marine Transport Corporation (“Respondent” or “Yang Ming”) hereby moves for the Presiding Officer to strike Complainant MSRF Inc’s (“Complainant or MSRF”) purported Reply Brief, on the ground that it includes new argument and evidence that was required to be in the Opening Brief, if at all. In the alternative, we respectfully ask the Presiding Officer simply to disregard the new argument/evidence, as opposed to formally striking the pleading.¹ As a final resort, although not the appropriate relief in this instance, we seek the opportunity to submit a sur-reply, which the courts have found mandatory when new material is to be considered. We are prepared to file such a sur-reply within seven days after Respondent’s request is granted (subject, of course, to the usual rules regarding weekends and holidays). The grounds for the motion are more fully set forth in our supporting Memorandum, immediately below.

Counsel for Respondent has conferred with Counsel for MSRF, who authorizes us to state that MSRF opposes this motion and will file a response.

¹ Respondent sees no meaningful difference between striking improper argument/evidence or disregarding it. We style this motion as a motion to strike for the reason that some courts have held that failure to make a motion to strike precludes a party from raising the issue on appeal.

INTRODUCTION

As Respondent has previously demonstrated, Complainant has engaged, both in this proceeding and in the similar docket (*MSRF v. HMM Company Ltd.*, FMC Docket No. 22-20), in the prohibited practice of “sandbagging.” That is, it has filed an opening brief saying essentially “we should win” and nothing more, even though it was well aware of the issues to be addressed and the arguments that respondent would raise.

In Docket 22-20, the respondent filed a motion to strike and/or allow a sur-reply, based on MSRF’s action of introducing new arguments on reply that it could, and should, have addressed in its opening brief. The Presiding Officer there decided not to strike the new and improperly made arguments, but rather to grant the respondent an opportunity to file a sur-reply.

Thus emboldened, MSRF in this case went a step further. It not only made new arguments, but actually introduced new “evidence,” in a supplemental appendix not permitted by the governing Procedural Schedule.² This is simply one in a long series of MSRF ignoring the FMC’s Rules and the Presiding Officer’s Orders. Most recently before this, for example, Complainant failed to comply with the Presiding Officer’s Order to Correct Filings dated May 30, 2023, which required MSRF to replace its illegible exhibits with new copies, ***without changing either the content or the pagination.*** In clear contravention of that order, Complainant changed (manipulated) both.

² Different versions of some of the individual emails included in the Supplemental Appendix (but not the whole strings) were included in Respondent’s Appendix, so we have no objection to those specific emails being cited, although the cites should properly have been to Respondent’s Appendix.

ARGUMENT

As anticipated in Respondent's Opposition Brief (at pp. 2-3), Complainant has engaged in a classic case of "sandbagging." It filed an Opening Brief (of five pages) totally devoid of substance. It did not, address, for example, how it made out (proved, not just alleged), any of the counts in the Complaint, said nothing about jurisdiction, even though Respondent had included jurisdiction in its affirmative defenses and Complainant had the burden of proving that such jurisdiction exists. As stated above, it really did nothing more than state its claims and ask for a ruling in its favor. The Presiding Officer could well have decided the case there and then, based on failure of proof.³ That would have saved Respondent a substantial amount of unnecessary legal fees. Instead, Respondent was required to file a substantial Opposition Brief (as to which Complainant caviled about the size and detail).

1. The Presiding Officer Should Strike or Disregard New Arguments/Evidence.

The impropriety of raising new arguments and submitting new evidence is well established. Although courts sometimes make exceptions where the evidence was not available or the argument could not be made at the time the opening brief was submitted, no such exception applies here. All the arguments made in Complainant's Reply Brief were known, and

³ See, e.g., *In re Basquez*, 2020 Bankr. Lexis 3211 at *4; 2020 WL 6929242 (C.D. Cal. 2020), (rejecting for failure of proof claims asserted in a brief that was two pages long and contained but little analysis or case authority); *United States v. Alonso*, 48 F.3d 1536, 1544 (9th Cir. 1995) ("an issue merely 'adverted to in a perfunctory manner, unaccompanied by some effort at developed argumentation'" is insufficient). In *United States v. Zannino*, 895 F.2d 1, 17 (1st Cir. 1990); for example, the First Circuit explained:

"issues adverted to in a perfunctory manner, unaccompanied by some effort at developed argumentation, are deemed waived. It is not enough merely to mention a possible argument in the most skeletal way, leaving the court to do counsel's work, create the ossature for the argument, and put flesh on its bones. . . . 'Judges are not expected to be mindreaders. Consequently, a litigant has an obligation 'to spell out its arguments squarely and distinctly,' or else forever hold its peace.'"

could have been made, in its Opening Brief. Likewise, the new evidence that Complainant seeks to introduce was in its possession before it even filed the Complaint, or at least before it filed the Opening Brief in which it could/should have included the material.

The cases holding that courts should strike or disregard new arguments/evidence first raised in reply briefs are legion. We here note just a few of them, basically selected through a very brief search.

In *Hamilton v. Willms*, 2007 U.S. Dist. Lexis 67486 at *34-35; 2007 WL 2558615 (E.D. Ca.), for example, the court explained:

“The court cannot grant [in that case a motion] on a new argument or new argument or new evidence presented for the first time in a reply brief. The court declines to consider the new evidence offered in the reply briefs. . . . Parties are required to raise all of their arguments in their opening brief to prevent ‘sandbagging’ of [the] non-moving party.” (Citations to eight supporting cases omitted).

Likewise, in *Corson and Gruman Co. v. NLRB*, 899 F.2d 47, 50 n.4 (D.C. Cir. 1990), the D.C. Circuit explained: “We require petitioners and appellants to raise all of their arguments in the opening brief to prevent “sandbagging” of appellees and respondents and to provide opposing counsel the chance to respond.”

Courts in many other cases have declined to consider arguments/evidence first raised in reply briefs. The court in *In re Basquez*, 2020 Bankr. Lexis 3211 at *19; 2020 WL 6929242 (C.D. Cal. 2020), for example, held that it would not consider new evidence first raised in a reply brief, stating:

“[I]t is unfair to opposing parties for a moving party to include new evidence with a reply brief. All evidence in support of a motion should be included in the initial moving papers. In rare instances, it may be appropriate to include evidence with reply papers (i.e., if the evidence was not available when the motion was filed). But in nearly all circumstances procedural fairness requires that moving parties present all the evidence upon which they intend to rely before the deadline for which opposing parties must respond to the motion. . . . Attempting to present

evidence after the opposing parties no longer have an opportunity to respond to a motion is inherently unfair and improper.”

Accordingly, the court ordered that the offending evidence be “stricken.” *Id.* See, e.g., *Knipe v. Skinner*, 999 F.2d 708, (2nd Cir. 1993)(disregarding arguments made in reply ad stating that “[a]rguments may not be made for the first time in a reply brief); *Clubside, Inc. v. Valentin*, 468 F.3d 144, 160 (2d Cir. 2006) (“we generally do not consider arguments that are raised for the first time in a reply brief”); *Artuso v. Feit*, 2022 U.S. Dist. Lexis232087 at *20-21; 2022 WL 17960677 (N.D. Ohio 2022) (disregarding new evidence); *Andrade v. American First Finance, Inc.*, 2022 U.S. Dist. Lexis 178670 at *6 (Magistr. N.D. Ca. 1011) (similar); *Lattimore v. Brahmbatt*, 2022 U.S. Dist. Lexis 206087 at *6; 2022 WL 1599326 (W.D. Va. 2022) (refusing to consider matters added in reply brief).

Finally, we note that the Procedural Schedule in this proceeding specifically rejects the filing of evidence in connection with Complainant’s Reply Brief. The governing schedule is set forth in the Presiding Officer’s Order dated April 5, 2023, which states in pertinent part (emphasis in original):

FURTHER ORDERED that the parties follow this schedule:

April 21, 2023	Complainant’s Brief, Proposed Findings of Fact, and Appendix
June 14, 2023	Respondent’s Opposition Brief, Responses to Proposed Findings of Fact, Proposed Findings of Fact, and Appendix
June 28, 2023	Complainant’s Reply Brief and Responses to Respondent’s Proposed Findings of Fact

As immediately obvious, the dates for “Complainant’s Brief” and “Respondent’s Opposition Brief” provide for the submission of Appendices. Critically, the date for “Complainant’s Reply Brief” conspicuously *does not*. Given that clear statement in the Procedural Schedule, we are

quite surprised that Complainant included evidence in its Reply Brief without first making a motion to do so.

Accordingly, the Presiding Officer should order that the Supplemental Appendix be stricken or declare that she will not consider the evidence contained therein. She should also strike or ignore the new arguments and references to new evidence made in the Complainant's Reply Brief. Specifically, the Presiding Officer should decline to consider Complainant's new legal arguments about FMC precedent (Complainant's Reply Brief at pages 5-16) and its new assertions of fact (Complainant's Reply Brief at pages 10-12).

2. In the Alternative, the Presiding Office Must Permit a Surreply.

The law is clear that where a trial court declines to strike or disregard new arguments or new evidence first presented on reply, it **must** permit the opposing party an opportunity to respond. Any other course is an abuse of discretion. As the courts have explained:

“It is well-settled that a movant cannot raise new issues for the first time in a reply brief because consideration of such issues deprives the non-moving party of its opportunity to address the arguments. ‘[W]hile a district court nonetheless has the discretion to consider an issue raised in a reply brief, or new evidence submitted with a reply, it **must first** give the opposing party a reasonable opportunity to respond to the new argument or evidence. **Failure to do so is an abuse of discretion.**” *Hicks v. City of Millersville*, 2022 U.S. Dist. Lexis 150107 at *21 n.6; 2022 WL 3589489 (M.D. Tenn. 2022)(emphasis added; citations omitted).

Or as the Eleventh Circuit has stated:

“When faced with a reply brief that offers new evidence, we, like the Tenth Circuit, conclude that the district court has two permissible courses of action. It can either (1) permit the nonmoving party to file a surreply or (2) refrain from relying on any new material contained in the reply brief. **But it may not preclude the nonmoving party from filing a surreply and then grant summary judgment based on new material** presented only in the reply brief.” *Atlantic Specialty Insurance Co. v. Digit Dirt Worox, Inc.*, 793 Fed Appx. 896, *900; 2019 U.S. App. Lexis 33013; 2019 WL 5704518 (11th Cir. 2019)(emphasis added; citations omitted).

Accordingly, the court of appeals reversed a trial court decision to consider new material without allowing a surreply. Accord, e.g., *Doebele v. Sprint/United Management Co.*, 343 F.3d 1117, 1139 n.6 (10th Cir. 2003); *Seay v. TVA*, 339 F.3d 454, 481-82 (6th Cir, 2002). In the latter, the Sixth Circuit expressly rejected the lower court's determination that new matters raised in reply could be considered without a surreply because they merely pointed out facts in the non-moving party's possession and that the Federal Rules of Civil Procedure did not preclude new submissions in a reply. Rather, it held, such action in a reply was inconsistent with the federal rules, and in particular inconsistent with F.R.C.P. 56(c).

In *MSRF v. HMM Company, Ltd.*, Docket 22-20, the Presiding Officer indicated her preference for a surreply, rather than striking or disregarding the new arguments. We believe that a stronger action is warranted here, because, *inter alia*, the previous ruling has not deterred MSRF from improperly making new arguments in its reply briefs, indeed, to the contrary it has compounded its improper behavior by adding new evidence as well as new argument; the time for the Initial Decision is nigh; and by repeatedly failing to provide timely discovery (extending discovery by many months).

In the event the Presiding Officer continues to prefer that path here, Respondent asks for seven days after the Presiding Officer's order to submit its surreply. That is considerably less than the three weeks requested by HMM and the half or the 14 days granted by the Presiding Officer. That time frame will be challenging, especially considering our obligations to submit filings in other cases, but we are prepared to abide by seven days in trying to permit the

Presiding Officer to timely prepare her Initial Decision.

Dated: July 6, 2023

Respectfully submitted,

By: /s/ Rebecca A. Fenneman
Counsel for Respondent,
Yang Ming Marine Transport Corporation

Jeffrey/Fenneman Law + Strategy, PLLC
Rebecca A. Fenneman
Eric C. Jeffrey
Tel: (202) 904-2301
RFenneman@JeffreyFenneman.com
EJeffrey@JeffreyFenneman.com
700 12th Street, NW Suite 700
Washington, DC 20005

CERTIFICATE OF SERVICE

I certify that on the 6th day of July, 2023, a true and correct copy of the foregoing document was served by electronic mail on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020 as follows:

ATTORNEYS FOR COMPLAINANT:

CLARK HILL PLC

R. Kevin Williams
Mark R. Ludwikowski
Mark J. Andrews
Nicole Prefontaine
312.985.5907
kwilliams@clarkhill.com
mludwikowski@clarkhill.com
mandrews@clarkhill.com
nprefontaine@clarkhill.com
130 E. Randolph Street, Suite 3900
Chicago, IL 60601

/s/ Rebecca A. Fenneman

Rebecca A. Fenneman

RFenneman@JeffreyFenneman.com

Tel: (202) 904-2301

Jeffrey/Fenneman Law + Strategy, PLLC

700 12th Street, NW Suite 700

Washington, DC 20005